



Promotion Effectiveness Analysis

Evaluating Revenue and Volume Impact Across Campaigns



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About AtliQ Mart

- **AtliQ Mart** is a leading FMCG retail giant operating over **50 supermarkets across Southern India**.
- During the **Diwali 2023** and **Sankranti 2024** festive seasons, the company launched large-scale promotional campaigns on its private-label products.
- Promotions included various discount strategies such as **BOGOF, Cashback, and Percentage Discounts**.
- Management aims to evaluate the effectiveness of these campaigns to improve future promotional planning.



Objective

To evaluate the impact of promotional campaigns on sales volume and revenue and recommend strategies that maximize business growth while improving promotional efficiency.

Insights Required



Store Performance Analysis:

- Which are the top 10 stores in terms of Incremental Revenue (IR) generated from the promotions?
- Which are the bottom 10 stores when it comes to Incremental Sold Units (ISU) during the promotional period?
- How does the performance of stores vary by city? Are there any common characteristics among the top-performing stores that could be leveraged across other stores?

Promotion Type Analysis:

- What are the top 2 promotion types that resulted in the highest Incremental Revenue?
- What are the bottom 2 promotion types in terms of their impact on Incremental Sold Units?
- Is there a significant difference in the performance of discount-based promotions versus BOGOF (Buy One Get One Free) or cashback promotions?
- Which promotions strike the best balance between Incremental Sold Units and maintaining healthy margins?

Product and Category Analysis:

- Which product categories saw the most significant lift in sales from the promotions?
- Are there specific products that respond exceptionally well or poorly to promotions?
- What is the correlation between product category and promotion type effectiveness?



Total Sales Comparison before & after Promotion for each Campaign



Diwali

66.25%
ISU %

94.12%
IR %

Sankranti

155.31%
ISU %

50.87%
IR %

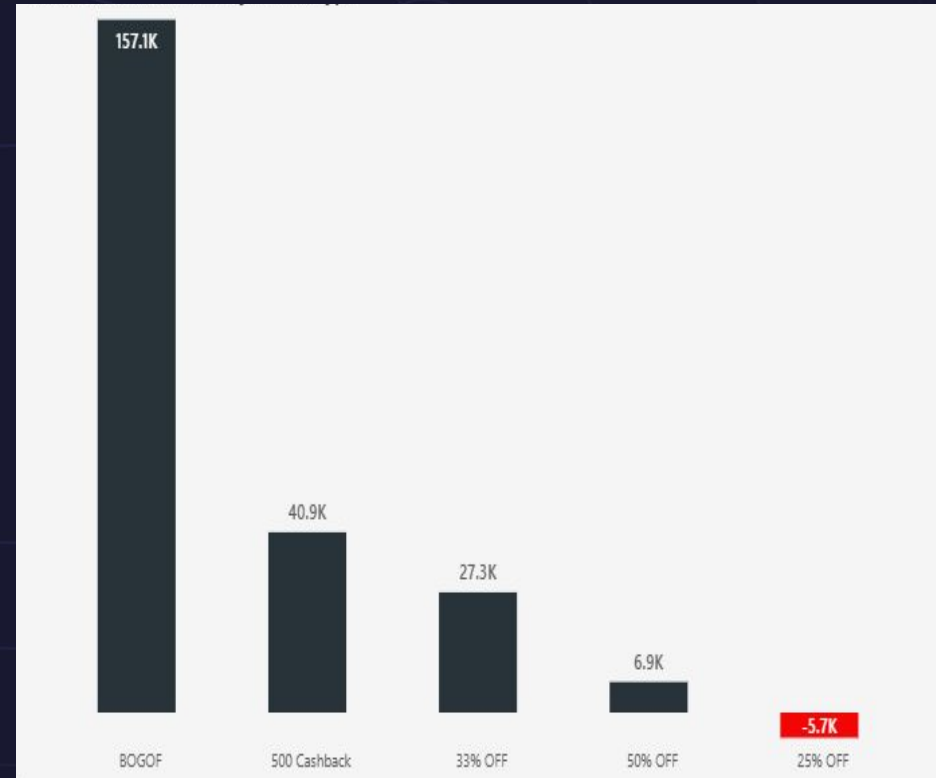


- Diwali promotions delivered stronger revenue growth, achieving a 94.12% increase in revenue and a 66.25% increase in units sold, indicating better monetization of promotional activities.
- In contrast, the Sankranti campaign generated a substantial 155.31% increase in sales volume but only a 50.87% increase in revenue, suggesting that demand growth was driven primarily by aggressive discounting rather than higher revenue generation.

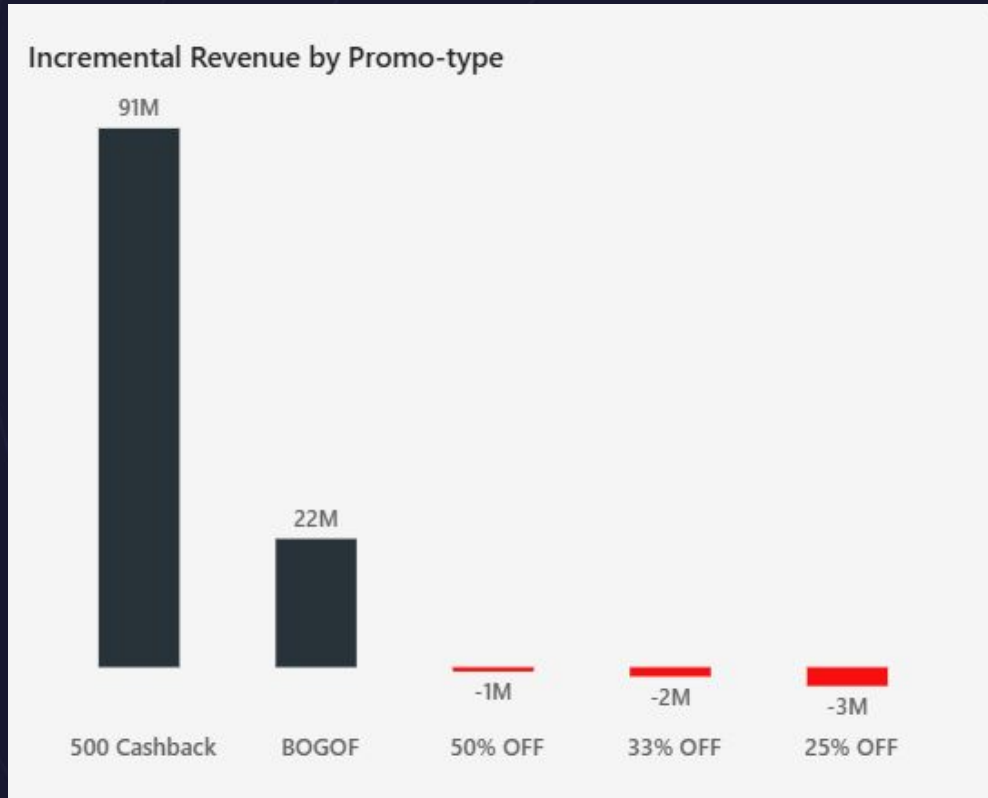
Incremental Sold Units (ISU) by each Promo Type



- ❑ BOGOF (Buy One Get One Free) promotions generated the highest increase in sales volume, contributing more than 150,000 additional units sold and demonstrating strong customer responsiveness to value-based offers.
- ❑ ₹500 Cashback offers is the 2nd most popular contributing more than 40k additional selling. In contrast, the 25% discount promotion underperformed, resulting in a decline of approximately 5,000 units sold compared to other promotional strategies.

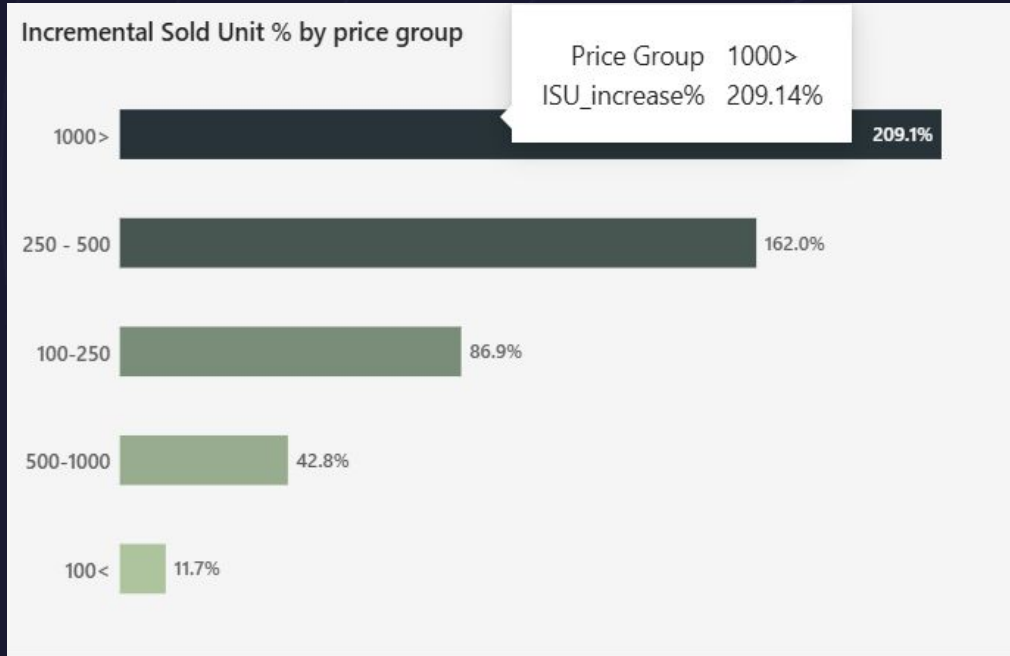


How each promo type contributing to Incremental Revenue(IR)



- ❑ Although BOGOF generated the highest sales volume, ₹500 Cashback promotions delivered the greatest revenue growth, indicating a better balance between Incremental Sold Units and maintaining high margin.
- ❑ Percentage-based discounts (25%, 33%, and 50% off) increased sales volume but failed to generate positive incremental revenue, as the additional sales were not enough to compensate for the lower selling prices.

How ISU% is changing for each pricing group ?



- ❑ Premium-priced products (above ₹1,000) exhibited the highest increase in sales volume following promotions, indicating strong customer responsiveness within higher-value product segments.



Category-wise Promotion Performance



How each promo-type is affecting each Category

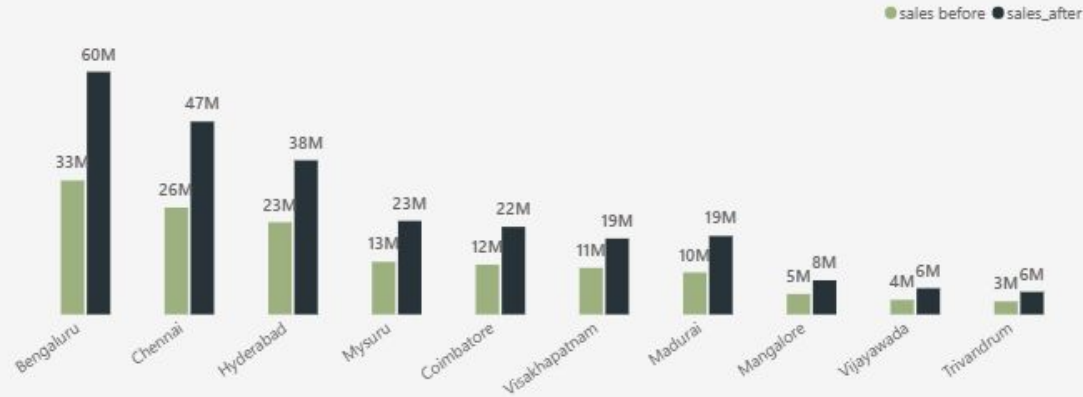
category	promo_type	ISU_increase%	IR%_increase
Grocery & Staples	25% OFF	-11.99%	-34.06%
Home Care	25% OFF	-13.78%	-35.53%
Personal Care	25% OFF	-18.00%	-38.41%
Grocery & Staples	33% OFF	43.04%	-4.28%
Personal Care	50% OFF	32.63%	-33.60%
Combo1	500 Cashback	183.33%	136.11%
Grocery & Staples	BOGOF	275.71%	87.76%
Home Appliances	BOGOF	264.39%	82.61%
Home Care	BOGOF	256.74%	78.82%

- ❑ The Combo category delivered strong performance across both incremental sales volume and incremental revenue metrics, making it one of the most effective product categories during promotional periods.
- ❑ The 25% discount promotion consistently underperformed across all product categories, generating weak growth in both sales volume and revenue, indicating limited customer appeal and poor financial effectiveness.

City Performance



sales before and sales_after by city



City Performance

city	incremental revenue	incremental sold units	IR%_increase	ISU_increase%
Chennai	21164958	43768	80.52%	110.79%
Hyderabad	15236583	35036	67.18%	101.96%
Mysuru	10070878	18901	77.79%	101.79%
Coimbatore	9311210	20750	76.10%	114.33%
Madurai	8968883	16711	86.81%	115.58%
Visakhapatnam	7218228	16741	63.02%	97.47%
Mangalore	3362913	7400	66.79%	98.29%
Vijayawada	2855301	5809	79.58%	109.67%
Trivandrum	2351289	5337	73.44%	110.43%

- ❑ Promotional campaigns generated positive revenue growth across all cities, demonstrating broad market effectiveness. Bengaluru, Chennai, and Hyderabad emerged as the strongest-performing markets, contributing the highest post-promotion sales volumes.
- ❑ IR and ISU are very low in Mangalore, Vijayawada & Trivandrum due to small number of stores.

Store Performance : Top 10 vs Bottom 5



store_id	25% OFF	33% OFF	50% OFF	500 Cashback	BOGOF
STBLR-0	-34.42%	-5.11%	-31.96%	172.20%	109.24%
STBLR-6	-33.93%	6.47%	-22.96%	164.28%	106.25%
STBLR-7	-34.76%	7.60%	-22.41%	169.59%	108.75%
STCBE-2	-34.70%	4.83%	-23.92%	179.00%	108.28%
STCHE-3	-34.28%	-7.32%	-34.97%	173.95%	110.05%
STCHE-4	-33.45%	-3.40%	-32.14%	177.68%	109.10%
STCHE-7	-27.95%	-1.99%	-33.65%	180.02%	111.95%
STMDU-0	-34.49%	-1.49%	-34.19%	165.27%	110.13%
STMYS-1	-41.21%	8.27%	-24.69%	169.47%	110.78%
STMYS-3	-33.67%	-19.30%	-44.81%	177.05%	108.90%

The highest-performing stores achieved superior revenue growth primarily through the use of Cashback and BOGOF promotions, highlighting the effectiveness of these strategies at the store level.

store_id	25% OFF	33% OFF	50% OFF	500 Cashback	BOGOF
STMLR-0	-35.55%	-7.18%	-32.91%	99.33%	37.05%
STVSK-3	-34.52%	-16.33%	-43.77%	97.15%	37.39%
STHYD-1	-34.68%	-17.63%	-43.69%	103.58%	35.88%
STCHE-1	-34.53%	-15.65%	-44.57%	102.99%	33.88%
STMYS-0	-34.97%	-4.23%	-34.97%	92.10%	36.87%

Product performance



product_name	promo_type	orders before	orders after	incremental sold units	ISU_increase%	IR%_increase
Atliq_Suflower_Oil (1L)	BOGOF	16257	61185	44928	↑ 276.36%	↑ 88.18%
Atliq_Farm_Chakki_Atta (1KG)	BOGOF	18415	69080	50665	↑ 275.13%	↑ 87.56%
Atliq_waterproof_Immersion_Rod	BOGOF	6468	23685	17217	↑ 266.19%	↑ 83.09%
Atliq_High_Glo_15W_LED_Bulb	BOGOF	8245	29928	21683	↑ 262.98%	↑ 81.49%
Atliq_Double_Bedsheet_set	BOGOF	4203	15058	10855	↑ 258.27%	↑ 79.13%
Atliq_Curtains	BOGOF	4592	16317	11725	↑ 255.34%	→ 77.67%

product_name	promo_type	orders before	orders after	incremental sold units	ISU_increase%	IR%_increase
Atliq_Cream_Beauty_Bathing_Soap (125GM)	25% OFF	1405	1144	-261	↓ -18.58%	↓ -38.92%
Atliq_Body_Milk_Nourishing_Lotion (120ML)	25% OFF	2656	2186	-470	↓ -17.70%	↓ -38.27%
Atliq_Fusion_Container_Set_of_3	25% OFF	5207	4472	-735	↓ -14.12%	↓ -35.59%
Atliq_Scrub_Sponge_For_Dishwash	25% OFF	5762	4985	-777	↓ -13.48%	↓ -35.11%
Atliq_Farm_Chakki_Atta (1KG)	25% OFF	13925	12210	-1715	↓ -12.32%	↓ -34.24%

- ❑ Product performance was highly dependent on the promotion type applied. Several products that ranked among the top performers under one promotion appeared among the bottom performers under another, indicating that promotional effectiveness played a more significant role in driving outcomes than the products themselves.

Recommendations



★ **Prioritize Cashback Promotions for Revenue Growth**

Evidence

- ₹500 Cashback generated the highest incremental revenue.
- Top-performing stores relied heavily on Cashback promotions.

Recommendation

Increase the use of Cashback promotions, particularly for premium and high-margin products, as they provide a better balance between customer incentives and revenue generation.

★ **Use BOGOF for Volume Growth and Inventory Clearance**

Evidence

- BOGOF generated the highest increase in units sold (>150k).
- Top products by sales volume all used BOGOF.
- BOGOF consistently delivered positive incremental revenue across categories.

Recommendation

Deploy BOGOF promotions when the objective is to drive sales volume, clear inventory, or attract customers rather than maximize revenue.

Recommendations



★ **Reduce Reliance on Percentage-Based Discounts**

Evidence

- 25%, 33%, and 50% off promotions generated negative incremental revenue.
- These promotions underperformed across campaigns and categories.

Recommendation

Minimize the use of deep discount offers and optimize pricing strategies by shifting toward Cashback and bundle-based promotions.

★ **Expand Promotions on Premium Products and Combo Categories**

Evidence

- Products priced above ₹1,000 showed the highest increase in units sold.
- Combo products performed strongly in both volume and revenue growth.

Recommendation

Increase promotional focus on premium products and combo offerings, as these segments demonstrate strong customer response and revenue potential.

Conclusion



In conclusion, promotional campaigns significantly improved both revenue and customer demand. However, not all promotions delivered equal value.

The analysis showed that promotion effectiveness depends on business objectives. Cashback promotions were the most effective for revenue growth, while BOGOF promotions excelled at driving volume.

These insights can help AtliQ Mart design more efficient promotional strategies and maximize future campaign performance.

THANK YOU